

5-2h Sales Taxes and Trade Discounts

Sales of merchandise often involve sales taxes. Also, the seller may offer buyers trade discounts.

Sales Taxes

Almost all states levy a tax on sales of merchandise. The liability for the sales tax is incurred when the sale is made.

At the time of a cash sale, the seller collects the sales tax. When a sale is made on account, the seller charges the tax to the buyer by debiting Accounts Receivable. The seller credits the sales account for the amount of the sale and credits the tax to Sales Tax Payable. For example, the seller would record a sale of \$100 on account, subject to a tax of 6%, as follows:

Aug. 12	Accounts Receivable—Lemon Co.	106			
	Sales		100		
	Sales Tax Payable		6		
	Invoice No. 339.				
	Assets	=	Liabilities	+	Stockholders' Equity
	<u>Accounts Receivable</u>		<u>Sales Tax Payable</u>		<u>Sales</u>
	106		6		100

On a regular basis, the seller pays to the taxing authority (state) the amount of the sales tax collected. The seller records such a payment as follows:

Sept. 15	Sales Tax Payable	2,900			
	Cash		2,900		
	Payment for sales taxes collected during August.				
	Assets	=	Liabilities	+	Stockholders' Equity
	Cash		Sales Tax Payable		
	2,900		2,900		

Trade Discounts

Wholesale businesses (A company that sells merchandise to other businesses rather than to the public.)

are companies that sell merchandise to other businesses rather than to the public, called B2B transactions. Wholesalers may offer special discounts off list prices to government agencies or businesses that order large quantities. Such discounts are called trade discounts (Discounts from the list prices in published catalogs or special discounts offered to certain classes of buyers.)

Sellers and buyers do not normally record the list prices of merchandise and trade discounts in their accounts. For example, assume that an item has a list price of \$1,000 and a 40% trade discount. The seller records the sale of the item at \$600 [\$1,000 less the trade discount of \$400 (\$1,000 × 40%)]. Likewise, the buyer records the purchase at \$600.

Chapter 5: Accounting for Retail Businesses: 5-2h Sales Taxes and Trade Discounts

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